

Populism Spooks the BULLS

Markets tank as high deficit and rural rush leave investors unsure about reforms

By Malini Bhupta

In its second coming, the United Progressive Alliance (UPA) may have shed the hammer and sickle, but the Budget document has enough red in it to enrage the bulls on Dalal Street. The 2,111-point salute that the markets paid to the new Government on May 18, the first trading day after election results were out, has been undone by Finance Minister Pranab Mukherjee's socialist Budget—the Sensex tumbled 870 points on Budget day. The sharp reaction has more to do with the expectations that the market had built up, justifies Rakesh Jhunjhunwala, a proprietary trader and big bull: "This was the first Budget of the new Government without the Left on board, yet the finance minister

failed to make key policy announcements."

Mukherjee's message is clear: the Left may be out of the Government, but socialism is not. By increasing allocation to flagship schemes like Bharat Nirman by 45 per cent and National Rural Employment Guarantee Act (NREGA) by 144 per cent, the Government is sticking to its commitment to "inclusive growth". But the consequence of this largesse is a whopping fiscal deficit at 6.8 per cent, which has spooked the markets. Says Amar Ambani, vice-president, research, India Infoline: "Budget 2009 can be termed as a big spending one with a social and rural focus."

Mukherjee may have failed to kick-start reforms and set a disinvestment target, but he has deliv-

ered goodies in small packages to select sectors that have the potential to pull the economy out of its sluggishness. For starters, the extension of availability of benefits under Section 10A and 10B for Software Technology Parks of India (STPI) and export-oriented units beyond the stipulated deadline of March 2010, will enhance earnings of mid-cap software companies and the big three IT companies by at least 5 per cent.

Mukherjee's Budget may lack the atmospherics of his predecessor, but it sure will leave behind more money in the hands of companies and individuals. Abolishing the fringe benefit tax (FBT) will save corporates Rs 8,500 crore, while the abolition of the 10 per cent surcharge on

Budget **METER** Unravelling the sectoral outcome



AUTO

ANNOUNCEMENT:

Cut in additional excise duty on vehicles above 2,000cc to Rs 15,000 from Rs 20,000. Excise lowered on petrol-run medium & heavy commercial vehicles from 20% to 8%.

IMPACT:

No major impact on any company.



JEWELLERY RETAIL

ANNOUNCEMENT:

Customs duty increased for gold and silver imports. However, branded jewellery exempted from excise.

IMPACT:

Positive for branded jewellery companies. Increase in custom duty is to be passed on.



OIL & GAS

ANNOUNCEMENT:

Tax benefit under Section 80-IB to be extended to gas production. Prepare a blueprint for gas grid.

IMPACT:

Positive for RIL, ONGC, Cairn, GAIL, GSPL, Gujarat Gas, IGL, Everest Kanto and pipe firms.



FMCG, RETAIL AND ALL CONSUMPTION PLAYERS

ANNOUNCEMENT:

GST rollout from 2010 and more allocation for NREGA, NHDP and Bharat Nirman.

IMPACT:

Positive for all consumption-focused firms. GST will reduce the pricing divide between organised and unorganised players.